

Ross on Crime

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Legal professional privilege

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Legal professional privilege

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[12.700] Nature

The privilege extends to documents and other materials brought into existence for the sole purpose of obtaining legal advice or for contemplated legal proceedings.

Thus it covers communication between:

- lawyer and client;
- lawyer and client's agent;
- lawyer and third party for contemplated litigation;
- client (or agent) and third party for contemplated litigation.

[12.705] Rationale

In *AM & S Europe Ltd v Commission of the European Communities* [1983] QB 878; 1 All ER 705 (CJEC) Advocate General Sir Gordon Slynn said (at 913; 732–733):

Whether it is described as the right of the client or the duty of the lawyer, this principle has nothing to do with the protection or privilege of the lawyer. It springs essentially from the basic need of a man in a civilised society to be able to turn to his lawyer for advice and help, and if proceedings begin, for representation; it springs no less from the advantages to a society which evolves complex law reaching into all the business affairs of persons, real and legal, that they should be able to know what they can do under the law, what is forbidden, where they must tread circumspectly, where they run risks.

Approved:

Carter v Northmore, Hale, Davy & Leake (1995) 183 CLR 121; 81 A Crim R 19; 129 ALR 593 at 127–128, 145 (CLR).

In *Attorney-General (NT) v Kearney* (1985) 158 CLR 500; 61 ALR 55 Dawson J said (at 532; 77):

The policy which lies behind the doctrine views unrestricted communication between lawyer and client upon professional matters as being necessary for the proper functioning of our legal system. If inroads could be made upon the privilege in individual cases by involving a “higher public interest”, its application would become uncertain and the policy behind it would be effectively undermined.

See also

Esso Australia Resources v Dawson (1999) 87 FCR 588; 162 ALR 79 (at 596; 87 [26]) (FCA).

[12.710] The test

In *Daniels Corporation International Pty Ltd v ACCC* (2002) 213 CLR 543; 192 ALR 561 Gleeson CJ, Gaudron, Gummow and Hayne JJ said (at 552; 564 [9]):

It is now settled that legal professional privilege is a rule of substantive law which may be availed of by a person to resist the giving of information or the production of documents which would reveal communications between a client and his or her lawyer made for the dominant purpose of giving or obtaining legal advice or the provision of legal services, including representation in legal proceedings.

[12.715] Claimant bears the evidential onus

The party claiming legal professional privilege has the evidential onus, that is the burden of establishing the facts that give rise to the privilege.

In *Grant v Downs* (1976) 135 CLR 674; 11 ALR 577 Stephen, Mason and Murphy JJ said (at 689; 589):

It is for the party claiming privilege to show that the documents for which the claim is made are privileged. He may succeed in achieving this objective by pointing to the nature of the documents or by evidence describing the circumstances in which they were brought into existence. But it should not be thought that the privilege is necessarily or conclusively established by resort to any verbal formula or ritual. The court has power to examine the documents for itself, a power which has perhaps been exercised too sparingly in the past, springing possibly from a misplaced reluctance to go behind the formal claim of privilege. It should not be forgotten that in many instances the character of the documents the subject of the claim will illuminate the purpose for which they were brought into existence.

Followed:

National Crime Authority v S (1991) 29 FCR 203; 100 ALR 151 (FCA).

[12.720] Legal Aid Commission

Legal professional privilege exists between an accused and the Legal Aid Commission.

Secrecy provisions also prevent the Commission from divulging correspondence. The accused of course can waive the privilege: *R v Batiste* (1994) 35 NSWLR 437; 77 A Crim R 266 (CCA).

[12.725] Form of the communication is irrelevant

In *Commissioner AFP v Propend Finance Pty Ltd* (1997) 188 CLR 501; 141 ALR 545; 91 A Crim R 451 McHugh J said (at 553; 584; 491):

The privilege attaches whenever the communication or material is made or recorded for the purpose of confidential use in litigation or the obtaining of confidential legal advice. The protected communication or material may be a telephone conversation between a solicitor and client, a research memo of the legal adviser on an issue pertinent to the client's affairs or, as in the present case, the collection and collation of material and documents for the purpose of litigation or obtaining legal advice. As long as the communication was made or the material recorded for the sole purpose of legal advice or pending litigation and was intended to be confidential, the actual form of the communication or recording is irrelevant.

[12.730] “Without prejudice” letter

In *Hoefler v Tomlinson* (1995) 60 FCR 452; 133 ALR 625 (FCA), the respondents to a civil appeal moved that it be dismissed for want of prosecution. The affidavit in support exhibited without prejudice a letter from the appellant's solicitors offering to settle. Spender J, delivering the leading judgment, said (at 455; 627–628):

The purpose of exhibiting the letter in this case was to establish that Mr Hoefler was aware of the hearing of this application to strike out his appeal. That could have been done by referring to the fact and the date of the letter and the first sentence of it, and perhaps to the suggestion that the appeal should be adjourned. It was not necessary to exhibit the letter, in particular the contents of the offer, for that purpose. To do so is contrary to the provisions of the *Evidence Act 2001*. It offends the very important principle of public policy which underpins those provisions. It should not have been done.

[12.735] Communications in furtherance of a fraud or crime not privileged

In *Commissioner AFP v Propend Finance Pty Ltd* (1997) 188 CLR 501; 141 ALR 545; 91 A Crim R 451 McHugh J said (at 556; 587; 494):

Communications in furtherance of a fraud or crime are not protected by legal professional privilege because the privilege never attaches to them in the first place. While such communications are often described as “exceptions” to legal professional privilege, they are not exceptions at all. Their illegal object prevents them becoming the subject of the privilege (*Carter* (1995) 183 CLR 121 at 163).

A mere allegation of illegal purpose or fraud is not, of itself, sufficient to displace a claim of legal professional privilege. A person who alleges that legal professional privilege does

not apply to a communication tenders an issue for decision and has the onus of proving it. Subject to any statutory provisions to the contrary, any evidence tendered in a court of justice to prove an issue must comply with the ordinary rules of evidence. Legal professional privilege is a legal right. Its prima facie application to a communication can only be displaced by admissible evidence. That evidence does not have to prove that the communication was made in furtherance of a crime or the commission of a fraud, but it must establish a prima facie case that the communication was so made.

In *Clements, Dunne & Bell v AFP* (2001) 48 ATR 650; 188 ALR 515 (FCA, North J) his Honour held that documents did not attract privilege because they were part of the implementation of fraudulent conduct. His Honour made a long examination of the degree of proof of illegal purpose. There was the same result for the same reason in *R v Dunwoody* (2004) 212 ALR 103; 149 A Crim R 259 (Qld CA).

See also

Beazley v Steinhardt (1999) 106 A Crim R 21 (FCA, Dowsett J);

Clements, Dunne & Bell Pty Ltd v Commissioner, Australian Federal Police (2001) 48 ATR 650; 188 ALR 515 at 521–526 [29]–[44] (ALR) (FCA, North J).

[12.740] Presence of a third party

The presence of a third party in the communication between lawyer and client may indicate a lack of confidentiality.

In *R v Braham & Mason* [1976] VR 547 Lush J ruled (at 549):

[E]ach case must be examined to see whether the communication was one which should be classed as confidential. The fact of the presence of a third party should be examined to see whether that presence indicates that the communication was not intended to be confidential, or whether the presence of the third party was caused by some necessity or some circumstances which did not affect the primary nature of the communication as confidential.

In that case Lush J allowed a co-accused to lead evidence that an accused, while in the presence of police, had spoken to his solicitor on the telephone admitting the crime.

[12.745] Waiver

The common law applies to waiver of privilege and confidentiality. The *Evidence Act 1995* (Cth) ss 118 and 122 apply to adducing evidence, not to waiver: *Mann v Carnell* (1999) 201 CLR 1; 168 ALR 86.

In *Mann v Carnell* (1999) 201 CLR 1; 168 ALR 86 Gleeson CJ, Gaudron, Gummow and Callinan JJ said (at 13; 94 [28]):

At common law, a person who would otherwise be entitled to the benefit of legal professional privilege may waive the privilege. It has been observed that “waiver” is a vague term, used in many senses, and that it often requires further definition according to the context. Legal professional privilege exists to protect the confidentiality between lawyer and client. It is the client who is entitled to the benefit of such confidentiality, and who may relinquish that entitlement. It is inconsistency between the conduct of the client and maintenance of confidentiality which effects a waiver of the privilege. Examples include disclosure by a client of the client's version of a communication with a lawyer, which entitles the lawyer to give his or her account of the communication, or the institution of proceedings for professional negligence against a lawyer, in which the lawyer's evidence as to advice given to the client will be received.

Waiver may be express or implied. Disputes as to implied waiver usually arise from the need to decide whether particular conduct is inconsistent with the maintenance of confidentiality which the privilege is intended to protect ... What brings about the waiver is the inconsistency, which the courts, where necessary informed by considerations of fairness, perceive, between the conduct of the client and maintenance of the confidentiality; not some overriding principle of fairness operating at large.

R v Meninga (1992) 66 A Crim R 199 (Qld CCA) was an appeal against a murder conviction. On diminished responsibility the defence called a doctor who referred to data obtained from another doctor who had been retained by the defence legal advisors. He was cross examined on that data. The appeal was dismissed. The privilege was waived.

In *Attorney-General (NT) v Maurice* (1986) 161 CLR 475; 69 ALR 31 Gibbs CJ said (at 481; 34):

[W]here there is no intentional waiver the question whether a waiver should be implied depends on whether it would be unfair or misleading to allow a party to refer to or use material and yet assert that that material, or material associated with it, is privileged from production.

Deane J said (at 493; 43):

Thus, ordinary notions of fairness require that an assertion of the effect of privileged material or disclosure of part of its contents in the course of proceedings before a court or quasi-judicial tribunal be treated as a waiver of any right to resist scrutiny of the propriety of the use he has made of the material by reliance upon legal professional privilege.

There is no waiver if a document is sent to the wrong person by mistake. In *DPP (Cth) v Kane* (1997) 140 FLR 468 the prosecution mistakenly sent a confidential paper on the case to the solicitors for each person charged. Hunt CJ at CL held that confidentiality does not depend on the continuation of the privilege. There was no waiver. Privilege was not lost. Orders were made to restrain the use of the document and ordering its delivery up to the prosecution. According to the note in (1999) 73 ALJ 28 “the document and its copies were shredded in the judge's presence”.

In *Goldberg v Ng* (1995) 185 CLR 83; 132 ALR 57 Deane, Dawson and Gaudron JJ said (at 95–96; 64):

Imputed waiver

The circumstances in which a waiver of legal professional privilege will be imputed by operation of law cannot be precisely defined in advance. The most that can be done is to identify a number of general propositions. Necessarily, the basis of such an imputed waiver will be some act or omission of the person entitled to the benefit of the privilege. Ordinarily, that act or omission will involve or relate to a limited actual or purported disclosure of the contents of the privileged material. When some such act or omission of the person entitled to the benefit of the privilege gives rise to a question of imputed waiver, the governing consideration is whether “fairness requires that his privilege shall cease whether he intended that result or not”. That does not mean, however, that an imputed waiver must completely destroy the privilege. Like an express waiver, it can be limited so that it applies only in relation to particular persons, materials or purposes.

In *R v Silcock* [2022] QCA 234 it was held that where the Crown is aware of the accused's instructions to his lawyer this does not constitute a denial of a fair trial where the instructions are obtained lawfully.

See also

John Tanner Holdings Pty Ltd v Mortgage Management Ltd (2001) 182 ALR 201 (FCA, Conti J);

Re Doran Constructions Pty Ltd (in liq) (2002) 194 ALR 101 (NSW, Campbell J);

Director of Public Prosecutions (Cth) v Kinghorn [2020] NSWCCA 48;

In *Lazar v The Queen* [2021] NSWCCA 132.

[12.750] Subpoena of privileged documents in a criminal trial defence

Documents subject to legal professional privilege which is not waived are not to be produced over objection. That is so even though the documents may establish the innocence of a person charged with a crime or materially assist his defence: *Carter v Northmore, Hale, Davy & Leake* (1995) 183 CLR 121; 81 A Crim R 19; 129 ALR 593.

[12.755] Death of the client

Where privilege attaches to a document that privilege survives the death of the client:

Bullivant v Attorney-General (Vic) [1901] AC 196; [1900–1903] All ER Rep 812 at 206, 816–817 (HL) per Lord Lindley;

Prus-Grzybowski v Everingham (1986) 44 NTR 7; 87 FLR 186 at 12, 191 (Kearney J);

Dunesky v Elder (1992) 35 FCR 429; 60 A Crim R 459; 107 ALR 573 (FCA, Foster J).

The principle has been affirmed by the United States Supreme Court: *Swidler & Berlin & James Hamilton v United States* (1998) 141 L Ed 2d 379.

In *R v Molloy (deceased)* [1997] 2 Cr App R 283 (CA) the court held that the personal representatives or successors in title have the right to waive legal professional privilege of a deceased in the running of the deceased's appeal. This principle may not apply outside England. The reason is that there an appeal can be mounted on behalf of a deceased. In Australia, a criminal appeal abates on the death of the appellant.

See also

HL Ho, “Legal Professional Privilege after Death of Client”: (1999) 115 LQR 27–30.

[12.760] Statutory abrogation of privilege

Only the express words or necessary implication of a statute can abrogate legal professional privilege.

In *Daniels Corporation International Pty Ltd v ACCC* (2002) 213 CLR 543; 192 ALR 561 Gleeson CJ, Gaudron, Gummow and Hayne JJ said (at 553; 565 [11]):

Legal professional privilege is not merely a rule of substantive law. It is an important common law right or, perhaps, more accurately, an important common law immunity. It is now well settled that statutory provisions are not to be construed as abrogating important common law rights, privileges and immunities in the absence of clear words or a necessary implication to that effect.

In *Baker v Campbell* (1983) 153 CLR 52; 49 ALR 385 the privilege was not abrogated by a search warrant issued under s 10 of the *Crimes Act 1914* (Cth).

In *Worrell v Woods* (1999) 90 FCR 264; 163 ALR 195 (FCA) Finn J held that the privilege was not overridden by the *Bankruptcy Act 1966*. A solicitor had acted for a man who later became bankrupt. The trustee in bankruptcy was held not entitled to the solicitor's file.

[12.765] Solicitor restrained from acting for another

Bolkiah test

A solicitor, or more likely a large firm, can be restrained from acting for another who has an adverse interest. In *Bolkiah v KPMG* [1999] 2 AC 222; [1999] 2 WLR 215; [1999] 1 All ER 517 (HL) Lord Millett said (at 234–235; 224–225, 526):

A man cannot without the consent of both clients act for one client while his partner is acting for another in the opposite interest. His disqualification has nothing to do with the confidentiality of client information. It is based on the inescapable conflict of interest which is inherent in the situation.

Further (at 237; 226; 528):

Whether founded on contract or equity, the duty to preserve confidentiality is unqualified. It is a duty to keep the information confidential, not merely to take all reasonable steps to do so. Moreover, it is not merely a duty not to communicate information to a third party. It is a duty not to misuse it, that is to say, without the consent of the former client to make any use of it or to cause any use to be made of it by others otherwise than for his benefit. The former client cannot be protected completely from accidental or inadvertent disclosure. But he is entitled to prevent his former solicitor from exposing him to any avoidable risk; and this includes the increased risk of the use of the information to his prejudice arising from the acceptance of instructions to act for another client with an adverse interest in a matter to which the information is or may be relevant.

... the court should intervene unless it is satisfied that there is no risk of disclosure. It goes without saying that the risk must be a real one, and not merely fanciful or theoretical. But it need not be substantial.

Followed:

Styles v O'Brien (2007) 16 Tas R 268 (Crawford J);

Newman v Phillips Fox (1999) 21 WAR 309 (Steytler J).

Spincode test

In *Spincode Pty Ltd v Look Software Pty Ltd* (2001) 4 VR 501 (CA) a firm of solicitors acted for a company. When disputes arose among shareholders the firm continued to act for the company but covertly advised two shareholders. The primary judge restrained the firm from acting, and the appeal was dismissed.

Brooking JA with whom the others agreed said (at 521–525 [52]–[58]) that when a solicitor acts against a former client the danger of misuse of confidential information is not the only ground for intervention. One basis is a breach of a duty of loyalty, which will often survive the termination of the retainer. Another is the need for officers of the court to be brought to heel if their conduct calls for it.

Application in a criminal matter

In *Rothschild v Mullins* (2002) 135 A Crim R 407 (Tas FC) a legal aid lawyer acted for the appellant. The lawyer then joined the Hobart office of the DPP for six months, but did not discuss the continuation of the case with anyone there. At committal the magistrate forbade any appearance by anyone at the DPP during the lawyer's time at the DPP. Held: the magistrate had such a power.

See also

Marks and Spencer Plc v Freshfields [2004] 1 WLR 2331; 3 All ER 773 (Ch D Lawrence Collins J);

McVeigh v Linen House Pty Ltd [1999] 3 VR 394 (CA);

L Aitken, “Chinese Walls, Fiduciary Duties and Intra-Firm Conflicts” (2000) 19 Aust Bar Rev 116–134;

Hollander and Salzedo, “Conflicts of Interest and Chinese Walls” (2002) 26 MULR 241;

[12.770] Lawyer acting for more than one person

In *Yunghanns v Elfic Pty Ltd* [2000] 1 VR 92 Warren J held (at 99 [22]):

If two or more persons seek and obtain the advice of a lawyer then the privilege that attaches to the communications passing between them or one or other of them and the lawyer is joint privilege: *Farrow Mortgage Services Pty Ltd v Webb* (1996) 39 NSWLR 601 at 608.

See also

SB McNicol, *The Law of Privilege* (The Law Book Co Ltd, Sydney, 1992);

SB McNicol, “Client Legal Privilege and Legal Professional Privilege: Considered, Compared and Contrasted” (1999) 18 Aust Bar Rev 189–213;

S Laycock, “Client Professional Privilege” (1997) 35 Law Soc J 38;

J Auburn, *Legal Professional Privilege: Law and Theory* (Hart Publishing, Oxford, 2000);

C Hollander, *Conflict of Interest and Chinese Walls* (Sweet & Maxwell, London, 2000).

[12.775] Uniform Evidence Acts

In the Uniform Evidence Act jurisdictions, legal professional privilege is called client privileged and is governed by ss 117–126. It operates similarly to that at common law. The privilege has two limbs: the “advice limb” (s 118) and the “litigation limb”: s 119.

The privilege attaches to “confidential communications” by a lawyer for the “dominant purpose” of providing legal advice to a client (s 118) or professional legal services to clients relating to legal proceedings in which he or she is or might be a party to: s 119.

The advice limb applies to confidential communications (i) between the client and lawyer; (ii) or between two or more lawyers acting for the client; or (iii) the contents of a confidential document prepared by the lawyer, client or third person.

The litigation limb applies to confidential communications (i) between the client or the client's lawyer and another person; or (iii) the contents of a confidential document.

In *Aouad v The Queen* [2013] NSWSC 760 it was held that the Director of Public Prosecutions is a client and the Deputy Director is an Australian Lawyer. Accordingly, privilege applied to a memorandum from the latter to the former setting out reasons in support of the entry of a nolle

prosequi. This was not waived when one page of the memorandum was accidentally handed up to the court with the document entering the nolle prosequi:

the dominant purpose test is the same as at common law. For a case where the dominant purpose test was not satisfied, see *Buzzle Operations Pty Ltd v Apple Computer Australia Pty Ltd*.

Also, as at common law, the privilege belongs to the lawyer, not client and hence can be waived by the client: [s 122](#). A client is a person who with the consent of the lawyer has a relationship of trust entailing an obligation to promote the lawyer's interest.

In order for the privilege to apply, there is no need for the lawyer to have a practising certificate, nor to charge for his or her advice. The privilege can also apply to (private or government) in-house lawyers where their capacity to provide independent legal advice is preserved and the nature of the advice in question, and in particular whether the advice or document was confidential: *Commonwealth v Vance* (2005) 158 ACTR 47; 224 FLR 243; [2005] ACTCA 35.

A significant departure from the common law is that the privilege under the Act applies to self-represented parties: [s 120](#).

The privilege can be lost in similar circumstances to that at common law: [ss 122–125](#).